

CUSTOMERS IN SEARCH OF A MICROFINANCE ESTABLISHMENT IN CAMEROON

NYOBE Joseph Magloire

PhD. student at the University of Douala, Cameroon

Assistant Lecturer at the University of Bamenda, Cameroon

Email: jonyobe@yahoo.fr

Phone number: +237 677 18 14 99

INTRODUCTION

Despite microfinance concept was created and developed long time ago in Europe, then in America and later in Bangladesh in 1970s. Africa and specifically Cameroon has experienced his own microfinance institutions in the form of ROSCAs¹. ROSCAs (commonly known as “NJANGI” groups) only reflect the traditions of peoples from different areas. The spirit of association expressed through the idea of one hand cannot tie a bundle of wood denotes people willingness to bring together hands or resources in order to make any action more efficacious than when performed solely². Although Microfinance institutions have increased in importance since about 10 years, the activity has been carried out by cooperative of production for many years. The first microfinance institutions are created by catholic missionaries in the North and South West region around 1964 and 1968. They aim at securing peasant funds and grant loans to needy, since they were excluded from bank services. The regulation provided by COBAC in 2002 has merely legitimate and organized this activity alongside the banks activity.

Microfinance activity blossomed in 2000s and if today, the industry is better structured, it results from a trial-and-error process. Formerly supervised by the Ministry of Agriculture, the upheavals occurred during the decade 1990 have given room to a new regard of microfinances. The COBAC³ regulation of 2002 has organized the microfinance industry into three classes. The first category of Microfinance institutions are assimilated to the traditional ROSCAs but under their legal form. They are namely mutual and cooperatives. They are allowed to raise

¹ ROSCAs stands here for Rotating Savings and Credit Associations.

² In the past, the community was organized on solidarity base. By the time people were to farm, all went to cultivate in one person farm, and then they went round through the whole group farm. As a result, the work will have gone faster. And even in case of sad or happy event, people came to assist their fellow knowing that whoever faced with a similar situation would be assisted. These modes of organization of African societies are easily found in microinsurance and microsaving practices performed by ROSCAs and then benchmarked by cooperatives and other microfinance institutions (Nzemen, 1988).

³ Banking Commission for Central Africa Countries is the supervisor of all financial institutions in Central African Zone.

funds, as savings, and grant loans only to their members. In this case, the members are both customers and shareholders. The second category of microfinance can be regarded as small banks. As the cooperatives and mutual, and as the banks, they ought to collect funds and grant credit to natural and artificial bodies that are (or are not) shareholders but fulfil the standard conditions of the loan policy benchmarked from banks. The third category of microfinance institutions can be easily called formal usurers, but they do not lend upon a usury interest rate. However, they are not allowed to raise any funds as savings.

The practice of the activity of microfinance pictures a quite different situation. On the market of microfinance can be easily identified various entities: mutual and cooperatives, credit unions, microbanks, Non-Governmental Organizations (NGOs) and Non-Banking Financial Institutions (NBFIs). At the same time, are still operating informally usurers and ROSCAs alongside with standard banks. All offer a wide array of products and services that include loans, savings, and insurance products, as well as other financial and non-financial services. The industry is highly competitive, but the products are not highly differentiated. Still, all these entities do not offer exactly the same products and services. The prices as well as the quality differ significantly from one microfinance to another, and even from one branch to another. Strikingly, the customer who purchases a product from each microfinance enters in a contract that differ from one ownership form to another. The user can be assimilated to a mere customer or a mere shareholder or both of them. Thus, in accordance with the property rights theory (Demsetz, 1967), we assume that rights as clearly as defined, help customers to reasonably know what they are to expect in their relationships and agreements with each legal form of microfinance. As such, our research aims at looking for the factors that determine the choice of a microfinance establishment by a customer. Otherwise, what really matters for a microfinance customer while choosing a particular organizational form? Accordingly, following Coase (1937), we examine the distinguishing mark of a microfinance legal form perceived by customers.

1. A DIVERSITY OF LEGAL ENTITIES BUT IRREGULARLY WIDESPREAD

Although most of microfinances establishments are registered under the first two categories, awesomely, Non-Bank Financial Institutions (NBFIs) and Non-Governmental Organizations (NGOs) are the least observable forms in Cameroon. Observations indicated that microfinances are mostly registered as cooperatives and mutuals. In CEMAC Zone for example, 92 % of microfinances were organized as cooperatives and mutuals (class one) in 2007; cooperatives

were then followed by Microbanks (7.4 %) and Non-Profit making Organizations lastly arrived (0.6 %)⁴.

Many microfinance establishments are registered either as Cooperatives or Microbanks. But an observation of the distribution shows that in the North-West region of Cameroon, Cooperative is the dominant form. One may argue that this situation is due to the fact that the Cooperatives arose there and today CAMCCUL⁵ headquarters here. In urban area like Douala and in Yaoundé, where many microfinance establishments are found, the most observable legal form is Microbanks (the second category). Overwhelmingly, cooperatives and NGOs are regularly found in rural areas where they perform a social intermediation in addition to the financial intermediation (Barry and Tacneng, 2014). Alternatively, microbanks dwell mostly alongside banks and cooperatives in urban areas where they offer alternative banking products and services to low and intermediary income earners. Unlike for-profit firms, NGOs and cooperatives (that are non-profit oriented) target microenterprises and poor households; NBFIs and microbanks' clientele is diverse as well as their products (Barry and Tacneng, 2014).

However, Mersland and Strøm (2007) found that NGOs were not more socially oriented than Shareholders schemes. Instead, their result proved that NGOs operate like for-profit firms because they developed a business model proper to guarantee their sustainability. They were echoed by in 2011 by Tchakouté-Tchuigoua throughout a survey carried out in Sub-Sahara Africa. Thereby, he denotes that by no means NGOs should envy for-profit firms. Both firms has not showed a significant difference in terms of number of active borrowers, ROA, Operational Self-Sufficiency. Rather, the differences stemmed from lower interest rates charged by NGOs, coupled with high operating expenses compared to cooperatives⁶. Provided customers were to choose alternatively between NGOs, cooperatives and privately held microfinance, we might expect customers to rush towards low cost products suppliers (NGOs or non-profit Cooperatives). Hansmann (1996) in this view documented that "if we observe a particular form of ownership is dominant in a given industry, this is a strong indication that the form is less costly than other forms of ownership would be in that industry". But the observation contrasts with Hansmann's point; the most likely explanation can be found in the impossibility for NGOs and NBFIs to collect savings. In fact saving collection is the first step to get in touch

⁴ COBAC (2007), Report on Microfinance sector. Even if we do not have updated information, the trend has not significantly changed.

⁵ Cameroon Cooperative and Credit Unions League Limited (CAMCCUL) operates as a microfinance network gathering cooperatives in Cameroon.

⁶ This result is surprising because many cooperatives were not levied the corporation tax because they advocated carrying out a social mission: granting loans to their members at a low cost. Their non-profit nature and their lower operating expense ratio would attract customers in search of low cost products.

with a customer. Actual savers will certainly become future borrowers⁷. Regularly saving is a path to discipline customers in their consumption behaviour, but also it is a cheap source of customer history than can be also pledged as a collateral. Pledging savings accumulated over a certain period as collateral is a way out to assess potential borrower's character and capacity when financial statements cannot be provided. As such, at the same time the saving collection increases the customer portfolio of the institution, it increases its financial surface as well as its loan portfolio. This has been an accepted argument for NGOs' transformation into Microbanks. But as Tchakouté-Tchuigoua (2011) suggested, in Sub-Saharan Africa, the performance will not significantly differ.

Tchakouté Tchuigoua (2010) documented that shareholders firms were better off than NGOs in terms of portfolio quality and social performance. But while comparing the return on assets and the organizational performance, he did not find any superiority of Shareholders firms on NGOs, although Cooperatives seems to be more performing than Shareholders firms.

Theoretically, cooperatives and mutuals are firms where members are both suppliers (shareholders) and customers at the same time. Initially, their purpose was to provide low cost services to their members. But nowadays, it is not unusual to find many cooperatives operating like profit-oriented firms⁸. What is more, these cooperatives may be sometimes weakened by the heterogeneity of members with conflicting objectives. Nzemen (1988) raised up the fact that net borrowers will exert pressure on the organization in order to put downward the interest rates on loans. Whereas net savers are most likely to demand high interest rates on their deposits. Depending on the proportion of either net savers or net borrowers, the required rate of return is expected to be different and then the loan repayment performance may be affected. As Hansmann (1996) suggested, the homogeneity of interests, more than market costs contracting, is the cornerstone that make viable producer owned firms. And when interest are heterogeneous, the appropriate legal form is the investor ownership; otherwise, the cooperative form is preferred, if not the non-profit scheme. Typically in cooperatives operating under the umbrella of a network like (CAMCCUL, MC²⁹, RECCUCAM), the intervention of the network may deprive some members their control rights. Then the situation would be alike "a Non-Profit holding that delegates to the [members] of each subsidiary the right to elect the subsidiary management" (Hansmann, 1996). The situation is aggravated by the retention of the earnings

⁷ A common motto in many cooperatives is well rehearsed: "SAVE REGULARLY AND BORROW WISELY".

⁸ For this purpose, the Cameroon financial law of 2014 provided that the cooperatives should be levied the company tax as the other corporation businesses.

⁹ MC²: Mutuelles Communautaires de Croissance. This is a microfinance network that gather independent village banks.

and the initial contribution made as a threshold fee. This induces a significant lock-in cost to be borne by a member who wishes to stay in the cooperative.

Microbanks are not exempted from any inconvenient. There, the saver is fixed remunerated on his deposits. His savings are invested in projects where in case of downturn, they are not reimbursed. NGOs and mostly NBFIs are rarely found and the cost of their loans are not significantly different from their competitors so as to prevent the other forms to operate around them.

2. A DIVERSITY OF PRODUCTS AND SERVICES, BUT DIFFERENTIATED

Conventionally, Brigham (1979) expects users to choose a bank for the convenience of its location and the competitive costs of its services. To these features he added other criteria such as:

- the willingness to assume risks:
- the provision of advice and counsel:
- loyalty to customers:
- specialization:
- maximum loan size a customer can afford:
- other services:

The products usually offered by microfinance institutions include loans and savings. The services are also various and relate to overdrafts, money transfer, currency exchange, standing orders from commercial banks, project management, loan management, business counselling. The customers targeted are almost the same targeted by banks: wealthy people but mainly those with intermediary and low revenue: salaried workers, small traders, students, farmers, Small and Medium Size Enterprises etc. From the observation in microfinance practices, neither the interest rate charged, nor the cost borne by members are the same from one microfinance to another.

Beyond the differences among products and services, Bekolo (2007) raised up peculiar features of consumer behaviour in Cameroon:

- personal values: individualism, selfishness, fairness, etc.
- community values: family and tribe spirit, mutual support, solidarity, social cohesiveness and hospitality, etc.;
- environmental values: modernity, African traditions, time appraisal, spiritual beliefs;
- relational values: interpersonal relationships, conviviality, trust, fondness, etc.
- Traditional values, beliefs and social capital are valued in this context.

Therefore, he proposed some sounded strategies such as:

- direct negotiation: customers are looking for relationships that are based on conviviality, trust and humanism. As such, phone boxes and self-service shops failed to establish in Cameroon because people like haggling¹⁰ on goods they purchase. People are more inclined to prefer an organization that value interpersonal relationship like cooperatives and mutual that prevails in rural area¹¹. These organizations are grounded on social ties such as: the family, friendship, colleagues, fellow members from the same church or the same parish, inhabitants from the same village or quarter, etc. The quality of the member matters more and unusually, a non-socialized member needs to be recommended by an existing member before he joins the cooperative or before he is granted a loan. But by the same token, in urban areas, social connection may lose its importance and as these microfinance institutions are fiercely competing among them, cooperatives will target the same customers like microbanks irrespective to their social backgrounds.

- customer care service: here the author found that the relationship with the customer prevails in transactions more than the search of an optimality. By the virtue of solidarity and mutual support, honour of word, the conception of extended family relationships. Not only such values foster the mutualisation of resources throughout mutual and cooperatives, but also the individual relationships rationale is time-oriented towards the long-run. The customer may accept to lose today in view of a future gain. Thus long-term and stronger relationships are preferred to sporadic transactions and impersonal relationships that may be the realm of microbanks. And the trust earned can be enough to disincentive the customer to leave the firm. And typically to the financial intermediation industry, as the law enforcement is weak, the social capital is a promise to curtail the cost of information asymmetry in this context. Wamba (2013) documented that the social capital increases the likelihood of SMEs¹² to being granted a loan in Cameroon.

However, evidence from the large number of members in Cooperatives gives room to questioning on the proximity between members, and the relationship between members and their microfinance. Do all members really know each? Are they really looking for an isle of trust?

¹⁰ This behavior is typical to the commonly known African palaver.

¹¹ In an urban area, people are less concerned by others and there is the place where self-interests prevails. This may explain the success of microbanks rather than organizations where social connection prevails.

¹² These small entities were not proven to show enough collateral prior to any loan extension.

3. DIVERSITY OF FIRMS FACING THE SAME SOCIAL AND ECONOMIC ISSUES

Cameroon is amongst the poor countries in Sub-Sahara Africa. And microfinance institutions proved to be a sounded in meeting poor people needs, as they were formerly excluded from the standard banks. They offer a wide range of products and services alike ROSCAs and banks. These poor populations strive to imitate on wealthy people products by creating financial institutions based chiefly on alternative mechanisms such as reputation, social connections, trust and customer relationship (Bekolo, 2007; Ngoa Tabi and Niyonsaba Sebigunga, 2012; Wamba, 2013). The other factors determining SMEs' access to credit in banks are accessorially used, they are the size of the firm, the type of activity or the provision of financial statements (Wamba, 2013).

Yet, if ROSCAs do still operating alongside the formal institutions, the reasons might be found in the strong cultural factors. Unlike the standard consumer in search of optimality in his transactions, the customer loyalty will be grounded on social values. These social values relate to the family-mindfulness, solidarity, trust, respect of conventions and traditions, respect of word of honour, humanism, human warmth (Bekolo, 2007). All these cultural values were the backbone of ROSCAs (Nzemen, 1988; Kemayou, Guebou Tadjidje and Madiba, 2011), but even early cooperatives – created in 1960s – followed the same path. They were former ROSCAs turned into formal cooperatives for the regulation. In the North-West region of Cameroon, many cooperatives were incepted by village natives (AZICCUL, NTACCUL, etc.), some by colleagues (BAPCCUL, VICCUL, etc.). Elsewhere, microfinance institutions only promote female empowerment (CECPROM) or individuals carrying out a specific business activity (farmers, handicraftsmen, etc.). Again, following Boyer (1987) and Védrine (1984), Bekolo (2007) suggests that most African customers' behaviour in purchasing seem to be driven by their desire to interact with the seller throughout conviviality. The conviviality refers to as the positive and favourable relationships resulting from repeated interactions between individuals. The high propensity of Cameroonians to feast denote this desire of conviviality (Kombou and Feudjo, 2007). And at the same time, haggling on merchandises prioritizes warm relationship and direct negotiation.

From Bekolo (2007), we can infer some factors that may determine microfinance choice:

Personal value	Community value	Environmental values	Relationship value
- Individualism - Selfishness - Power - Loyalty	- Family and tribal mindfulness - Solidarity - Hospitality - Social group spirit	- Modernity - Traditional values	- Interpersonal relationship - Affection - Trust - Conviviality

Nowadays, the situation has quite changed; whenever the institution was created by natives, it accepts any customer that abides to its regulation. And furthermore, the techniques applied in banking has been benchmarked in microfinance industry in such a way that cooperatives, microbanks, NGOs and even ROSCAs are similar in their practices. It is common to see many customers in microfinance required to provide a financial or tangible collateral like in banks. Thus, in both urban and rural areas, customers' financial constraints, resulting from their opacity and their poverty, were overcome by ROSCAs and formal microfinance institutions. These institutions worthily incorporated simultaneously traditional values and standard banking practices in microfinance institutions (Tchankam, 2005).

4. DIVERSITY OF FIRMS CREATED FOR WHICH PURPOSE?

Theoretically, it is assumed that:

- Cooperatives and Mutual are driven by the same desire as a member of a ROSCAs: enrolling in an association where one can be an active partner who may borrow or/and save, and thereby receive dividends.
- Microbanks and NBFIs' shareholders may wish to invest their money and realize the highest profit as possible with savings and borrowings from customers.
- Microbanks' savers may wish to safely save or/and invest their money and earn some interest without being involved deeply in any organization.
- Microbanks' borrowers may wish to transact with the firm without being involved deeply in any organization.
- Non-Profit Oriented Firms may be created by an organization which aim is alike charitable organisations. And the services charged to customers merely aims at covering the cost incurred by the operations.

Also, some criteria such as the proximity (geographical, cultural, professional, etc.) between members may be part of the reasons for opting for one type of microfinance rather than another.

5. METHODOLOGY

In profiling microfinance customers in Cameroon according to the legal status, A cluster analysis will be performed for this purpose based on the following variables:

- proximity: the proximity is appraised in terms of geographical proximity (the time spent in order to get the microfinance institution, the closest place to the institution), the social proximity (connection of the client with the other members in the institution, the way the client got in touch with the institution, the number of acquaintances in the institution)
- the level of satisfaction towards financial services such as: loans, savings, time management, etc.
- some negative past experiences of the client with other microfinance.
- the reliability on alternative informal sources of financing such as friends, relatives, ROSCAs, usurers, etc.).
- the membership to a ROSCA as well as its features.
- the microfinance landmark compared to others: conviviality, proximity, reliability, cheap and easy access to loans, etc.
- personal information such as: age, gender, marital status, level of education, number of persons staying with the customer.

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